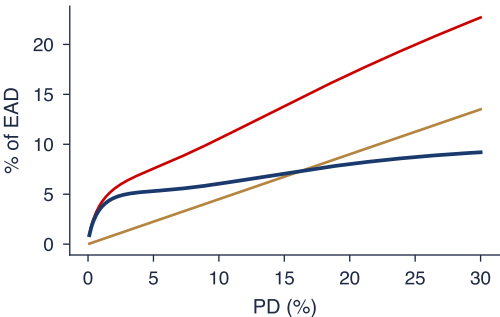


Other retail, LGD = 45%



- loss in a 1-in-1000 year: $LGD \times \text{stressed PD}$
- expected loss $EL = PD \times LGD$
- capital K = the difference